

Cambridge Assessment
International Education

**Cambridge International AS & A Level
ECONOMICS**

Paper 1 AS Level Multiple Choice (Advanced)

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A, B, C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

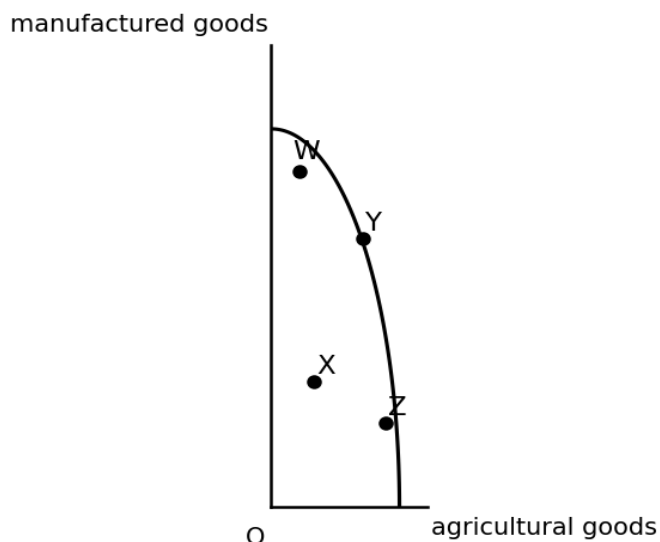
INFORMATION

- The total mark for this paper is 30.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

This document has **12** pages. Any blank pages are indicated.

Practice paper – Advanced difficulty **[Turn over]**

- 1 Which of the following is a normative statement that uses economic data?
- A Unemployment in country Y rose to 6.4% in 2023, the highest level in five years.
 - B Because GDP growth in country Y fell to 0.5%, interest rates ought to be reduced.
 - C When the central bank raised interest rates by 0.5%, mortgage applications fell by 12%.
 - D Government spending on health increased from \$40 billion to \$45 billion in 2023.
- 2 A small bakery moves from a system where each worker bakes complete cakes individually to one where workers specialise in different tasks (mixing, baking, decorating, packaging). Which is not a likely outcome?
- A increased boredom and reduced job satisfaction for some workers
 - B lower average costs of production due to higher productivity
 - C greater dependence on the reliability of all workers in the production chain
 - D a movement of the bakery's production possibility curve inward
- 3 Which feature is associated with a mixed economy but not a pure market economy?
- A the use of prices as signals to producers and consumers
 - B private ownership of some factors of production
 - C the existence of profit motive in private firms
 - D government provision of public goods financed through taxation
- 4 The diagram shows the production possibility curve (PPC) for an economy producing manufactured and agricultural goods.



Which statement is correct?

- A Point X represents the maximum sustainable output the economy can achieve.
- B A movement from X to Z represents improved allocative efficiency only.
- C Point W is currently unattainable but could be reached after economic growth.
- D Points Y and Z both represent productive efficiency with no opportunity cost.

- 5 Why is clean air in a major city often not considered a free good in economic terms, even though no money is paid for it?

A Producing clean air requires sophisticated technology.
 B Clean air is rival in consumption between citizens.
 C Maintaining clean air involves opportunity costs such as foregone industrial output.
 D The government controls the supply of clean air through regulation.

- 6 The market for a normal good is initially in equilibrium. There is then an increase in consumer incomes accompanied by an improvement in production technology.

What is the certain effect on equilibrium price and quantity?

A Price rises, quantity rises.
 B Price falls, quantity rises.
 C Price is indeterminate, quantity rises.
 D Price falls, quantity is indeterminate.

- 7 A firm reduces the price of its product by 8% and its total revenue rises by 2%.

Which statement about the price elasticity of demand (PED) is correct?

A Demand is inelastic with PED between 0 and -1 .
 B Demand is unit elastic with PED equal to -1 .
 C Demand is elastic with PED less than -1 .
 D Demand is perfectly elastic with PED equal to infinity.

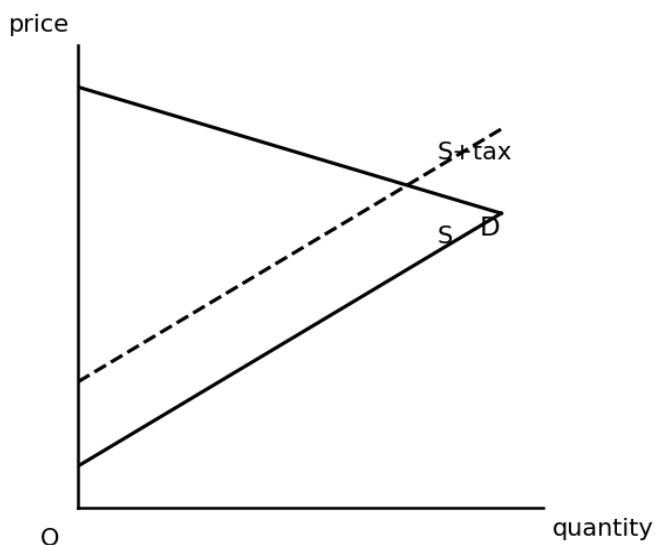
- 8 The table shows the price elasticity of demand (PED) and income elasticity of demand (YED) for four goods.

good	PED	YED
W	-0.4	$+0.3$
X	-0.4	$+2.5$
Y	-2.0	-0.6
Z	-2.0	$+1.8$

Consumer incomes rise by 5% over a year while the prices of all four goods remain unchanged. Which good will experience the largest percentage increase in quantity demanded?

A W
 B X
 C Y
 D Z

- 9 The diagram shows a market in which a specific tax has been imposed on the producers of a good, shifting the supply curve from S to $S + \text{tax}$.



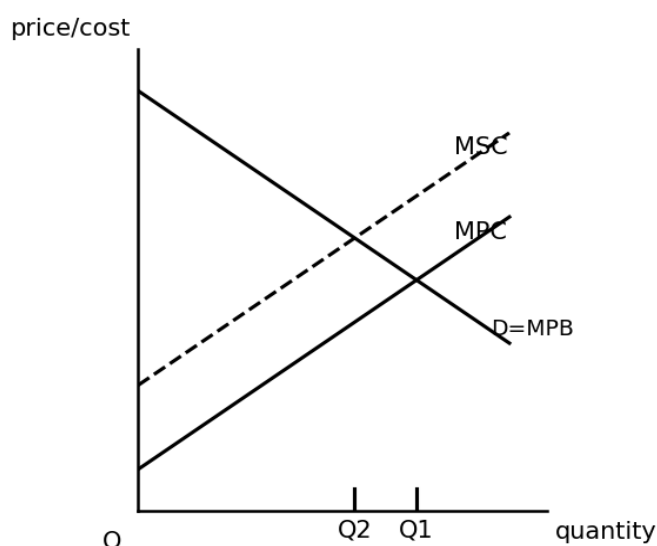
What can be concluded from the diagram?

- A Demand is highly elastic and most of the tax falls on producers.
 - B Demand is relatively inelastic and most of the tax falls on consumers.
 - C Demand is perfectly elastic and the entire tax falls on producers.
 - D Supply is more elastic than demand and the tax burden is shared equally.
- 10 Which event would unambiguously reduce producer surplus in a competitive market?
- A an increase in demand caused by rising consumer incomes
 - B the imposition of a minimum price above the equilibrium price
 - C an increase in indirect tax with relatively inelastic demand
 - D an improvement in technology lowering production costs
- 11 The price of good X falls from \$20 to \$18. As a result, the quantity demanded of good Y falls from 400 units to 360 units.
- What is the cross elasticity of demand between Y and X (using original values)?
- A -1.00
 - B -0.10
 - C +0.10
 - D +1.00
- 12 A government sets a minimum price above the equilibrium price in the agricultural market and agrees to purchase any surplus produced.
- Which combination of effects is most likely?
- A consumer surplus rises; producer surplus falls; government expenditure rises
 - B consumer surplus falls; producer surplus rises; government expenditure rises
 - C consumer surplus falls; producer surplus rises; government expenditure falls
 - D consumer surplus rises; producer surplus rises; government expenditure falls

- 13** A government grants a subsidy to producers of a good with relatively inelastic demand. Who benefits most from the subsidy?

A consumers, who pay a much lower price
B producers, who retain most of the subsidy as higher revenue
C the government, through higher tax revenue
D foreign suppliers, who can sell at the new price

- 14** The diagram shows a market in which production generates negative externalities. MPC is the marginal private cost and MSC is the marginal social cost.



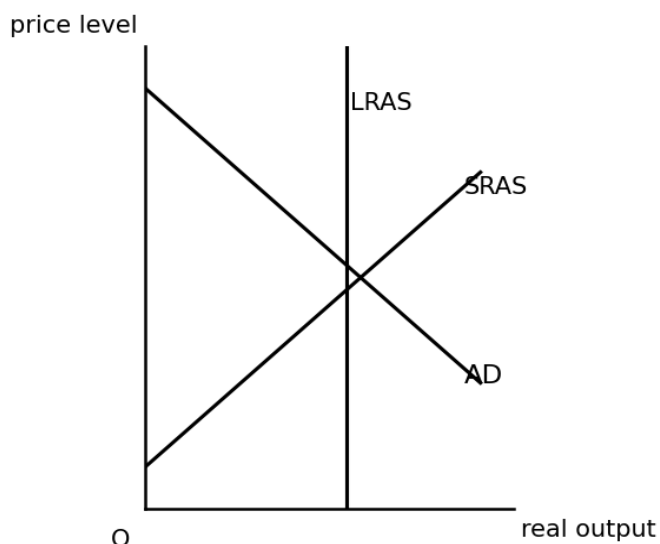
What is true about the free market outcome at Q1?

- A** There is an underallocation of resources and a welfare gain.
B There is an overallocation of resources and a welfare loss.
C Production is socially optimal as price equals marginal private cost.
D External costs are fully reflected in the market price.
- 15** Which transaction would be included in a country's GDP calculation using the expenditure method?
- A** the sale of a second-hand car between two private individuals
B the purchase of shares in a domestic company by a household
C government spending on building a new public hospital
D an unpaid family member caring for elderly relatives at home
- 16** An unexpected rise in the rate of inflation occurs in an economy. Which group is most likely to benefit?
- A** households on fixed nominal incomes
B savers holding their wealth in non-indexed deposit accounts
C borrowers on long-term fixed nominal interest rate loans
D exporters competing in international markets

- 17** The labour force of a country is 25 million. There are 1.5 million people who are unemployed and actively seeking work, and 0.5 million 'discouraged workers' who have stopped seeking employment.

Using the standard measure, what is the unemployment rate?

- A** 2.0%
 - B** 6.0%
 - C** 8.0%
 - D** 8.7%
- 18** Which is a weakness of using GDP per capita to compare living standards between countries?
- A** It only captures market transactions and ignores unpaid work.
 - B** It always rises when life expectancy improves.
 - C** It always falls when income inequality worsens.
 - D** It accounts for differences in the cost of living between countries.
- 19** The diagram shows aggregate demand (AD), short-run aggregate supply (SRAS) and long-run aggregate supply (LRAS) for an economy.



What does the position of LRAS to the right of the SRAS/AD intersection suggest?

- A** The economy is operating above its productive capacity.
 - B** The economy has a negative output gap with spare capacity.
 - C** The economy is at full employment with no spare capacity.
 - D** The economy is experiencing demand-pull inflation.
- 20** In a closed economy with no government sector, the marginal propensity to consume (MPC) is 0.75.

What is the value of the multiplier?

- A** 1.33
- B** 3.00
- C** 4.00
- D** 7.50

- 21** A government uses expansionary monetary policy to reduce unemployment. Which macroeconomic objective is most likely to be undermined?
- A** balance of payments stability on the current account
 - B** economic growth
 - C** redistribution of income
 - D** increased productivity
- 22** A government implements contractionary fiscal policy by raising direct taxes and cutting capital spending. Which combination is most likely to result?
- A** smaller budget deficit; higher inflation; higher AD
 - B** smaller budget deficit; lower inflation; lower AD
 - C** larger budget deficit; lower inflation; lower AD
 - D** larger budget deficit; higher inflation; higher AD
- 23** Which combination of policies would most clearly be supply-side and likely to reduce a budget deficit in the long run?
- A** reducing income tax rates and increasing welfare benefits
 - B** increasing public investment in education and reducing trade union power
 - C** raising interest rates and cutting government infrastructure spending
 - D** imposing tariffs on imports and subsidising domestic producers
- 24** A country has the following balance of payments data, in \$ billions:

item	\$ billions
exports of goods	180
imports of goods	210
exports of services	90
imports of services	60
net primary income	–10
net secondary income	–15

- What is the current account balance?
- A** \$ +30 billion
 - B** \$ +5 billion
 - C** \$ –25 billion
 - D** \$ –55 billion
- 25** A country's currency depreciates significantly. In the short run, the current account deficit widens before improving in the longer term. What best explains this pattern?
- A** Domestic inflation immediately rises, eroding any export competitiveness.
 - B** Demand for imports and exports adjusts slowly, while values change immediately.
 - C** Foreign currency reserves fall to support the exchange rate.
 - D** Investors withdraw long-term capital from the economy.

- 26** Country A can produce, with 1 unit of labour, either 30 cars or 60 computers. Country B can produce, with 1 unit of labour, either 10 cars or 40 computers.
- Which rate of exchange would be mutually beneficial for trade between the two countries?
- A** 1 car for 1 computer
 - B** 1 car for 3 computers
 - C** 1 car for 5 computers
 - D** 1 car for 6 computers
- 27** Which factor would cause the demand for a country's currency on the foreign exchange market to fall?
- A** a rise in the country's exports of services
 - B** a relative increase in foreign interest rates
 - C** an inflow of foreign direct investment into the country
 - D** a fall in domestic inflation relative to trading partners
- 28** The world price of a good is \$10. A country imposes a 20% ad valorem tariff on imports of this good.
- If the domestic supply at \$12 is 800 units and domestic demand at \$12 is 1400 units, what is the government's tariff revenue?
- A** \$ 1200
 - B** \$ 2800
 - C** \$ 12000
 - D** \$ 16800
- 29** Which is the strongest argument against free international trade?
- A** It allows countries to benefit from comparative advantage.
 - B** It increases consumer choice and competition.
 - C** It may lead to over-dependence on imports for essential goods.
 - D** It promotes efficient allocation of global resources.
- 30** A country's terms of trade index falls from 110 to 100 over a year.
- Which is the most likely cause?
- A** Export prices rose faster than import prices.
 - B** Import volumes grew faster than export volumes.
 - C** Export prices rose by less than import prices.
 - D** The country's currency appreciated significantly.

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